

Amendment No. 1 to SB2263

Gardenhire
Signature of Sponsor

AMEND Senate Bill No. 2263*

House Bill No. 2254

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Title 47, Chapter 18, is amended by adding the following as a new part:

47-18-3501. Short title.

This part is known and may be cited as the "App Store Accountability Act."

47-18-3502. Part definitions.

As used in this part:

(1) "Account holder" means the individual who is associated with the mobile device;

(2) "Age category" means one (1) of the following categories of individuals based on age:

(A) "Child" means an individual who is less than thirteen (13) years of age;

(B) "Younger teenager" means an individual who is at least thirteen (13) years of age and less than sixteen (16) years of age;

(C) "Older teenager" means an individual who is at least sixteen (16) years of age and less than eighteen (18) years of age; or

(D) "Adult" means an individual who is at least eighteen (18) years of age;

(3) "Age category data" means information about an account holder's age category that is collected by an app store provider and is shared with a developer;

(4) "Age rating" means one (1) or more classifications that assess the suitability of an app's content and functions for different age categories;

(5) "App" means a software application or electronic service that a user may run or direct on a mobile device, including a pre-installed app;

(6) "App store" means a publicly available website, software application, or electronic service that allows account holders to download apps from third-party developers onto a mobile device;

(7) "App store provider" means a person that owns, operates, or controls an app store that allows account holders in this state to download apps onto a mobile device;

(8) "Content description" means a description of the specific content elements or functions that informed an app's age rating;

(9) "Developer" means a person that owns or controls an app made available through an app store in this state or a pre-installed app on a mobile device;

(10) "Knowingly" means to act with actual knowledge or to act with knowledge fairly inferred based on objective circumstances;

(11) "Minor":

(A) Means an individual who has not yet attained eighteen (18) years of age; and

(B) Does not include an individual who has not yet attained eighteen (18) years of age but who is married or legally emancipated;

(12) "Minor account" means an account with an app store provider that is established by an individual who is a minor;

(13) "Mobile device" means a phone or general-purpose tablet that:

- (A) Provides cellular or wireless connectivity;
- (B) Is capable of connecting to the internet;
- (C) Runs a mobile operating system; and
- (D) Is capable of running apps through the mobile operating

system;

(14) "Mobile operating system" means software that:

- (A) Manages mobile device hardware resources;
- (B) Provides common services for mobile device programs;
- (C) Controls memory allocation; and
- (D) Provides interfaces for apps to access device functionality;

(15) "Parent" means, with respect to a minor, an individual who is reasonably believed to be a parent, legal guardian, individual with legal custody, or another individual who has the legal authority to make decisions on behalf of the minor under applicable state law;

(16) "Parent account" means an account with an app store provider that:

(A) Is verified to be established by an individual who the app store provider has determined is at least eighteen (18) years of age, married, or emancipated through the app store provider's age verification methods; and

(B) May be affiliated with one (1) or more minor accounts;

(17) "Parental consent disclosure" means the following information:

(A) If the app store provider has an age rating for the app or in-app purchase, the app's or in-app purchase's age rating;

(B) If the app store provider has a content description for the app or in-app purchase, the app's or in-app purchase's content description;

(C) A description of:

(i) The personal data collected by the app from an account holder; and

(ii) The personal data shared by the app with a third party; and

(D) If personal data is collected by the app, the methods implemented by the developer to protect the personal data;

(18) "Person" means an individual, corporation, firm, association, organization, partnership, limited liability company, business, or trust;

(19) "Pre-installed app":

(A) Means an app, or portion of an app, that is present on a mobile device at the time of purchase, initial activation, or first use by the consumer;

(B) Includes:

(i) A browser, search engine, and messaging; and

(ii) An app, or portion of an app, installed or partially installed by the device manufacturer, wireless service provider, retailer, or another party prior to purchase, initial activation, or first use by the consumer, and which may be updated after purchase, initial activation, or first use; and

(C) Does not include an app, or portion of an app:

(i) For core operating system functions;

(ii) For essential device drivers; or

(iii) Necessary for basic device operation, including the phone app, device settings, and emergency services apps;

(20) "Significant change" means a material modification to an app's terms of service or privacy policy that:

(A) Changes the categories of data collected, stored, or shared;

(B) Alters the app's age rating or content descriptions; or

(C) Adds new monetization features, including:

(i) In-app purchases where no in-app purchases were previously present; or

(ii) Advertisements where no advertisements were previously present in the app; and

(21) "Verifiable parental consent" means authorization that:

(A) Is provided by a parent account;

(B) Is given after the app store provider has clearly and conspicuously provided the parental consent disclosure as part of the app download, purchase, or in-app purchase process; and

(C) Requires the parent to make an affirmative choice to:

(i) Grant consent; or

(ii) Decline consent.

47-18-3503. App store provider requirements.

(a) An app store provider shall:

(1) At the time an individual who is located in this state creates an account with the app store provider, or, for existing accounts, within twelve (12) months of the effective date of this part:

(A) Request age category information from the individual or account holder; and

(B) Verify the individual's age category using commercially available methods that are reasonably designed to ensure accuracy. For an individual under eighteen (18) years of age, a method is commercially available if the method includes:

- (i) Affirmative age attestation by an individual who is reasonably believed to be the minor's parent or legal guardian; and
 - (ii) Other account information collected in the ordinary course of account creation or use;
- (2) If the app store provider determines that the individual is a minor:
 - (A) Require the account to be affiliated with a parent account; and
 - (B) Obtain verifiable parental consent from the holder of the affiliated parent account each time before allowing the minor to:
 - (i) Download an app;
 - (ii) Purchase an app; or
 - (iii) Make an in-app purchase;
- (3) After receiving notice of a significant change from a developer:
 - (A) Notify the account holder of the significant change; and
 - (B) For a minor account:
 - (i) Notify the affiliated parent account; and
 - (ii) Obtain renewed verifiable parental consent before providing access to the significantly changed version of the app;
- (4) If requested by a developer, provide to the developer:
 - (A) Age category data for an account holder located in this state; and
 - (B) The status of verifiable parental consent for a minor user located in this state;
- (5) Provide a mechanism for a parent account to withdraw consent and notify a developer when a parent account revokes verifiable parental consent;
- (6) Protect age category data and any associated verification data by:
 - (A) Limiting collection and processing to data necessary for:

- (i) Verifying an account holder's age category;
 - (ii) Obtaining verifiable parental consent; or
 - (iii) Maintaining compliance records; and
- (B) Transmitting age category data using industry-standard encryption protocols that ensure data integrity and data confidentiality; and

(7) For a pre-installed app:

- (A) Provide available age category information in response to a request from a developer; and
- (B) Take reasonable measures to facilitate verifiable parental consent for use of the app in response to a request from a developer.

(b) An app store provider shall not:

- (1) Enforce a contract or terms of service against a minor unless the app store provider has obtained verifiable parental consent;
- (2) Knowingly misrepresent the information in the parental consent disclosure; or
- (3) Share age category data and any associated data except as required by this part or another law.

47-18-3504. Developer requirements.

(a) A developer shall:

- (1) Request through the app store's data sharing methods verified age-category data of an account holder located in this state, and for a minor's account, whether verifiable parental consent has been obtained;
- (2) Request age category data or verifiable parental consent:
 - (A) At the time an account holder:
 - (i) Downloads an app;
 - (ii) Purchases an app;

- (iii) Launches a pre-installed app for the first time; or
 - (iv) Creates a new account with the developer;
- (B) When implementing a significant change to the app; and
- (C) To ensure compliance with applicable laws;

(3) Notify the app store provider of a significant change to an app; and

(4) Use age category data received through the app store's data sharing methods to:

- (A) Ensure compliance with any laws or regulations; and
 - (B) Enforce any developer-created, age-related restrictions, safety features, or defaults.

(b) When implementing a developer-created, age-related restriction, safety feature, or default, a developer shall utilize the lowest category indicated by:

- (1) Age category data received through the app store's data sharing methods; or

- (2) Age data independently collected by the developer.

(c)

- (1) A developer shall not request age category data more than once during each twelve-month period to verify:

- (A) The accuracy of the age category associated with an account holder; or

- (B) Continued account use within the age category.

- (2) Notwithstanding subdivision (c)(1), a developer may more frequently request through the app store's data sharing methods verified age category data of an account holder located in this state when there is reasonable suspicion of:

- (A) Account transfer; or

- (B) Misuse outside of the age category.

(3) In addition to the prohibition described under subdivision (c)(1), a developer shall not:

(A) Enforce a contract or terms of service against a minor unless the developer has verified through an app store's data sharing methods that verifiable parental consent has been obtained;

(B) Knowingly misrepresent information in the parental consent disclosure; or

(C) Share age category data and any associated data except as required by this part or another law.

47-18-3505. Enforcement.

(a)

(1) A minor, or the parent or other legal guardian of a minor, who has been aggrieved by a violation of this part may bring a civil action against an app store provider or developer.

(2) In such an action, the court shall award a prevailing plaintiff:

(A) The greater of actual damages or one thousand dollars (\$1,000) per violation;

(B) Punitive damages, if the court finds that the violation was egregious; and

(C) Reasonable attorney fees and court costs.

(b)

(1) A violation of this part constitutes a violation of the Tennessee Consumer Protection Act of 1977, compiled in part 1 of this chapter. A violation of this part constitutes an unfair or deceptive act or practice affecting trade or commerce and is subject to the penalties and remedies as provided in the Tennessee Consumer Protection Act of 1977, in addition to the penalties and remedies in this part.

(2) In addition to the remedies described under subsection (a) and subdivision (b)(1), the attorney general and reporter may bring an action against an app store provider or developer to:

(A) Recover a civil penalty not to exceed seven thousand five hundred dollars (\$7,500) per violation;

(B) Restrain or enjoin the app store provider or developer from violating this part;

(C) Seek injunctive relief; and

(D) Recover reasonable attorney fees and court costs.

47-18-3506. Safe harbor.

(a) A developer is not liable for a violation of § 47-18-3504 if the developer demonstrates that the developer:

(1) Relied in good faith on applicable age category data received through an app store's data sharing methods;

(2) Relied in good faith on notification from an app store provider that verifiable parental consent was obtained if the account holder was a minor; and

(3) Complied with the requirements of § 47-18-3504.

(b) In determining an app's age rating and content description, a developer is not liable for a violation of § 47-18-3504 if the developer:

(1) Uses widely adopted industry standards to determine the app's age category and content description; and

(2) Applies such standards consistently and in good faith.

(c) The safe harbor described in this section:

(1) Applies only to actions brought pursuant to this part; and

(2) Does not limit an app store provider's or developer's liability under any other law.

(d) This part does not affect or otherwise limit any other available remedies or rights authorized under federal law or the law of this state.

47-18-3507. Application.

This part does not:

(1) Prevent an app store provider or developer from taking reasonable measures to:

(A) Block, detect, or prevent distribution to minors of:

(i) Unlawful material;

(ii) Obscene material; or

(iii) Other material harmful to minors;

(B) Block or filter spam;

(C) Prevent criminal activity; or

(D) Protect app store or app security;

(2) Require an app store provider to disclose user information to a developer beyond age category data or status of parental consent;

(3) Allow an app store provider or developer to implement measures required by this part in a manner that is arbitrary, capricious, anticompetitive, or unlawful;

(4) Require a developer to collect, retain, reidentify, or link any information beyond what is:

(A) Necessary to verify age category data as required by this part;

and

(B) Collected, retained, reidentified, or linked in the developer's ordinary course of business; or

(5) Require an app store provider to block access to an application that an account holder has downloaded or installed onto a mobile device prior to this part's effect date, except to the extent that:

(A) A parent account revokes verifiable consent for an affiliated minor account; or

(B) There has been a significant change to the affected app.

SECTION 2. Tennessee Code Annotated, Section 47-18-104(b), is amended by adding the following as a new subdivision:

() Violating the App Store Accountability Act, compiled in part 35 of this chapter;

SECTION 3. If any provision of this act or the application of any provision of this act to any person or circumstance is held invalid, the invalidity does not affect other provisions or applications of the act that can be given effect without the invalid provision or application, and to that end, the provisions of this act are severable.

SECTION 4. The headings in this act are for reference purposes only and do not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the headings in any compilation or publication containing this act.

SECTION 5. This act takes effect December 1, 2026, the public welfare requiring it, and applies to conduct occurring on and after that date.